MARGIN THEORY

The 16 Parts of Your Business

The parts that drive revenue, profit, and cash flow

You just sat through Own a Machine, Not a Job. This is the part I promised.

Your business is a machine, and its job is to make money. Get all 16 parts running and you own a business. Miss them and you own a job that happens to have your name on it.

Here's every part, what it means in plain English, and which number it moves.

Jake Erickson
Margin Theory

THE WHOLE MACHINE

All 16, in three groups

Revenue 5

WHAT YOU SELL

- 01 Leads
- 02 Conversion Rate
- 03 Retention Rate
- 04 Purchase Frequency
- 05 Average Transaction Value

Profit 5

WHAT YOU KEEP AFTER COSTS

- 06 Cost of Goods
- 07 Marketing
- 08 Payroll
- 09 Overhead
- 10 Other Income & Expense

Cash Flow 6

WHAT LANDS IN YOUR ACCOUNT

- 11 Days Sales Outstanding
- 12 Days Inventory Outstanding
- 13 Days Payable Outstanding
- 14 Buy or Sell Assets
- 15 Use or Pay Down Debt
- 16 Owner Draws

You don't have to fix all 16. Move one part and you'll see a change. Move two or three and the change gets big fast.

PARTS 1 TO 5

Revenue

What you sell. These five add up to your top line.

01 Leads

The number of potential customers who find out you exist. Every dollar you spend on marketing should show up here first. More leads, more chances to make a sale.

02 Conversion Rate

The percentage of leads who actually buy. Leads measure your marketing. Conversion measures your sales. Move this and revenue climbs without spending a dollar more to get in front of people.

03 Retention Rate

The percentage of customers who come back. Someone who already knows you and trusts you is the cheapest revenue you'll ever earn.

04 Purchase Frequency

How many times a customer buys from you in a year. Get an existing customer to buy one more time and you grow without finding anyone new.

05 Average Transaction Value

What a customer spends per purchase. Raise it from $500 to $600 and revenue goes up with the same number of customers.

The Revenue Formula

Leads × Conversion Rate = new customers

Past customers × Retention Rate = returning customers

(New + returning) × Purchase Frequency = total sales

Total sales × Average Transaction Value = **Revenue**

PARTS 6 TO 10

Profit

What you keep after costs. Revenue you never see doesn't count.

06 Cost of Goods

What it costs you to deliver the sale, measured as a percentage of revenue. The lower it runs, the more of every dollar you keep.

07 Marketing

What you spend to get the sale, as a percentage of revenue. Spend it where it drives leads that convert, not where it just feels busy.

08 Payroll

What you pay your team. The number matters less than whether every role brings in more than it costs.

09 Overhead

Rent, software, insurance, the costs you pay whether you sell anything or not. Easy to let pile up, easy to trim once you look.

10 Other Income & Expense

Everything that hits the bottom line but isn't your core operation. Interest, one-time costs, side income.

The Profit Formula

Revenue – Cost of Goods – Payroll – Marketing – Overhead ± Other = **Profit**

PARTS 11 TO 16

Cash Flow

What actually lands in your account. The hidden money lives here.

11 **Days Sales Outstanding**
How long it takes to collect after you make a sale. Collect faster and the same revenue turns into cash sooner.

12 **Days Inventory Outstanding**
How long your money sits on the shelf as inventory before it sells. Hold less and you free up cash you already earned.

13 **Days Payable Outstanding**
How long you take to pay your suppliers. Stretch it without burning the relationship and you hold your cash longer.

14 **Buy or Sell Assets**
Equipment, vehicles, property. Buying ties up cash, selling frees it. Both move your bank balance without touching profit.

15 **Use or Pay Down Debt**
Borrowing brings cash in, paying it down sends cash out. Neither shows up on your profit line. Both change what's in the bank.

16 **Owner Draws**
The money you take out for yourself. It doesn't show up as an expense, and it's the whole reason you own the thing.

> **Where cash flow comes from**
>
> Start with profit. Then adjust for how fast you collect, how much you hold in inventory, how slow you pay, what you buy or sell, what you borrow or repay, and what you take out. That's the change in your bank account.

YOUR NEXT MOVE

That's the 16.

You don't have to fix all of them. Move two or three and the machine starts paying you differently.

This guide shows you the parts. I map that to your actual numbers, set the targets, and run it with the owners I work with every month.

Want to see what that looks like for your business?

Book a 30-minute Strategy Call. We'll talk through your setup and where the numbers could be working harder. You don't have to prepare anything or sit through slides.

calendly.com/jake-qmqx/strategy-call

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